Teradyne, Inc.

Full investment research | Model assumptions and source evidence

Full rescore - 20 October 2026

The active Q4 2027 model ceiling moves from USD 297.989413 to USD 310.411750, a 4.17% increase. Analytical Base 44/60 = 73 and protected Excel Base 73 remain unchanged. The 20x GAAP operating-profit method, minority/pension claims and end-window diluted shares are unchanged.

Source interpretation and incremental demand

The owner supplied an analyst recap headed "US Semiconductors / Takeaways from 2026 SEMICON West and OCP Global Summit." Its publisher, author and report timestamp are absent from the cropped pages. Receipt on October 20 does not authenticate its publication date. The test bullet attributes strong Amazon testing demand, Google TPU ramping and roughly doubled supplier production between the second halves of 2026 and 2028. It separately says the bank's Teradyne revenue model grows more than 80% over that period. Production, shipments and accepted revenue have different units and timing.

US Semiconductors

Takeaways from 2026 SEMICON West and OCP Global Summit

Semicon/West recap: Terafab and more Terafab, WFE +30%+/yr for the "foreseeable future", test suppliers sound very bullish

- **WFE growth reaffirmed at 30%+/yr for the foreseeable future:** we met with a number of OEMs and key companies in the supply chain this past week. We have previously discussed that some large SPE suppliers are telling their supply chains to add enough capacity to support $500B/yr in WFE and we heard a lot more of this in our meetings. Unsurprisingly, much of this appears underpinned by an exceptionally strong DRAM WFE outlook, with our supply chain conversations suggesting industry DRAM capacity could reach ~3MM wsm sometime in C2029 and reach 4MM by 2031 with some SPE suppliers now filling slots out into C2030. Terafab was the biggest topic of discussion that we heard at the show with senior executives meeting with all major SPE suppliers and setting forth a very aggressive capacity plan and very different ways in which to architect wafer flows in the fab - essentially requiring "custom" tools that are unique to Terafab. We also picked up indications that with more customers eyeing INTC's EMIB-T capacity/offering, TSMC could begin curtailing its wafer allocation to INTC as early as next year. This, from WFE standpoint, should drive incremental upside to INTC's own capacity buildout and capex for C2027 and equipment spend over the next several years - another positive factor (for WFE) that gets lost amid the Terafab focus.
- **From TER and Advantest a very bullish tone:** we met with both TER and Advantest and both meetings reaffirmed the view that test demand remains exceptionally strong. For TER in particular, it sounds like its AMZN test business could be up substantially once again in C2027 despite this year already seeing big growth out of this VIP customer. To this end, we would note Trainium's larger transistor counts, increasing HBM content, more extensive mission-mode testing and less mature DFT capabilities - which, in aggregate, should continue to drive substantially greater test intensity per device. As such, TER appeared to almost caution us from underestimating the magnitude of the next-generation units +transistor count growth - potentially an order of magnitude higher - which we read as particularly bullish for the trajectory of Test TAM, that we increasingly believe is being underestimated by the market. TER is also ramping with Google for TPU (we have written about this here) and we now get the sense that this business could ultimately over time be larger than even TER's AMZN business. Lastly, some suppliers with whom we spoke mentioned they are getting signals from both TER and Advantest that tool production will roughly double from C2H:26 to C2H:28 - this is substantially above even our high-on-Street model for TER which has revenue growing >80% over this period.
- **Semiconductor materials suppliers signaling wafer start inflection:** with industry MSI annual run-rate (~14,292) in C2Q26 having surpassed C2021 levels (~14,165) and now sitting just ~3% below the C2022 historical peak (~14,713), our conversations with industry contacts reinforced the view that semi materials could be approaching an important inflection - one that could ultimately result, we think, in the next big bottleneck across the AI supply chain. More specifically, with Oct-2026 marking the first month of equipment shortages - as WFE suppliers had, until now, largely been able to meet M/M planned shipment slots - we see the potential 'rotation of shortages' across the supply chain, with semi materials at the center of it. This is particularly relevant considering that ~55% of industry MSI is tied to trailing F/L where wafers are only now approaching prior peaks, and

Original owner-supplied analyst excerpt: SEMICON WFE, Teradyne/Advantest testing and materials discussion. Original date and publisher unknown; the production claim and bank revenue forecast have separate scopes.

A 25% subjective commercial-realization probability weights a selected lower revenue endpoint of 1.8 times the inherited guidance-anchored second-half 2026 company revenue forecast. That baseline is a saved model estimate, rather than reported second-half actuals. A 1.7-1.9 times range is diagnostic. The existing active path, including all five earlier scenarios, is subtracted first. A further 25% of that residual is removed for shared customer, test-content and pricing economics. This is one accepted-test-sales scenario. Google, Amazon, HBM and transistor complexity do not receive separate copies of the same revenue.

Endpoint / overlap step	USD million
Inherited guidance-anchored second-half 2026 model revenue forecast	2,509.072863
Selected 1.8x conditional second-half 2028 endpoint	4,516.331153
Existing active second-half 2028 company revenue	3,639.781406
Residual before extra 25% overlap reduction	876.549747
Residual after 25% overlap reduction	657.412310
Probability-weighted second-half 2028 extra revenue	164.353078

Manufacturing, support expense and timing

Incremental gross margin is 58.5%, retaining 41.5% manufacturing and depreciation cost. Another 18% of new sales pays for engineering, customer support and administration, including stock compensation. Conditional operating contribution is therefore 40.5% of net incremental accepted sales, before the 25% probability weight. No extra scarcity-price premium or cost-free operating leverage is introduced. The new branch starts in Q2 2027, reaches the selected timing benefit in the second half of 2028 and fades to zero by Q4 2029 as reference growth catches up. No 2026 guidance is rewritten.

Quarter	Phase	Net conditional sales	Expected sales	Expected COGS	Expected opex	Expected OP
Q3 2026	0%	0.000000	0.000000	0.000000	0.000000	0.000000
Q4 2026	0%	0.000000	0.000000	0.000000	0.000000	0.000000
Q1 2027	0%	0.000000	0.000000	0.000000	0.000000	0.000000
Q2 2027	20%	61.782782	15.445696	6.409964	2.780225	6.255507
Q3 2027	35%	121.974439	30.493610	12.654848	5.488850	12.349912
Q4 2027	50%	154.456956	38.614239	16.024909	6.950563	15.638767
Q1 2028	65%	226.523959	56.630990	23.501861	10.193578	22.935551
Q2 2028	80%	247.131129	61.782782	25.639855	11.120901	25.022027

Quarter	Phase	Net conditional sales	Expected sales	Expected COGS	Expected opex	Expected OP
Q3 2028	100%	348.498398	87.124600	36.156709	15.682428	35.285463
Q4 2028	100%	308.913912	77.228478	32.049818	13.901126	31.277534
Q1 2029	75%	261.373799	65.343450	27.117532	11.761821	26.464097
Q2 2029	50%	154.456956	38.614239	16.024909	6.950563	15.638767
Q3 2029	25%	87.124600	21.781150	9.039177	3.920607	8.821366
Q4 2029	0%	0.000000	0.000000	0.000000	0.000000	0.000000
Q1 2030	0%	0.000000	0.000000	0.000000	0.000000	0.000000
Q2 2030	0%	0.000000	0.000000	0.000000	0.000000	0.000000
Q3 2030	0%	0.000000	0.000000	0.000000	0.000000	0.000000
Q4 2030	0%	0.000000	0.000000	0.000000	0.000000	0.000000

The unchanged reference and old five-scenario funding states remain the starting point. The added branch is separately tested at its full conditional value, reserving 30% of every incremental quarter's sales for working capital, 15% for capital expenditure and 30% tax on incremental profit, with no working-capital releases credited.

Conservative added-branch liquidity bound	USD million
Starting lower bound below the prior state minimum	500.000000
Maximum additional cash drag bound	328.377449
Lower cash bound after new branch	171.622551
Required operating floor	100.000000

What would change the estimate

Customer-accepted test sales, program conversion, realized configurations, manufacturing costs and repeat orders can strengthen or weaken the case. Earlier recorded capacity, Photon100, burn-in and pricing branches remain embedded. The exact analyst identity/date, customer-period scope, production-to-acceptance conversion and Google-versus-Amazon scale remain gaps. Better parallelism or shorter tests can offset chip complexity. Teradyne's next scheduled Q3 report is October 27; these excerpts contain no newly reported earnings period.

Exact current operating and valuation sums

All figures are exact saved-model outputs with display rounding only. Gross profit less fully expensed operating costs equals operating profit. Forecasts remain assumptions; no display rounding changes the workbook.

Quarter	Revenue	Gross profit	Opex	Operating profit	OP margin
Q3 2026	1,250.000	731.250	374.750	356.500	28.52%
Q4 2026	1,259.073	744.112	374.750	369.362	29.34%
Q1 2027	1,463.115	879.739	407.766	471.973	32.26%
Q2 2027	1,538.502	924.808	410.520	514.289	33.43%
Q3 2027	1,553.550	933.611	413.228	520.383	33.50%
Q4 2027	1,621.612	974.396	414.663	559.732	34.52%
Q1 2028	1,772.856	1,073.956	465.954	608.002	34.30%
Q2 2028	1,847.118	1,118.873	466.851	652.022	35.30%
Q3 2028	1,872.460	1,133.698	471.412	662.286	35.37%
Q4 2028	1,931.674	1,169.813	469.600	700.212	36.25%
Q1 2029	1,990.942	1,204.039	510.062	693.977	34.86%
Q2 2029	2,041.089	1,234.930	505.216	729.714	35.75%
Q3 2029	2,024.256	1,225.082	502.186	722.896	35.71%
Q4 2029	2,079.351	1,258.867	498.231	760.637	36.58%
Q1 2030	2,117.821	1,279.079	542.035	737.044	34.80%
Q2 2030	2,201.810	1,329.780	541.996	787.784	35.78%
Q3 2030	2,201.810	1,329.780	541.996	787.784	35.78%
Q4 2030	2,285.799	1,380.481	541.957	838.524	36.68%

The ceiling quarter prices that quarter and the next three. The original multiple, claims, ownership and diluted-share timing are preserved.

Ceiling quarter	Four-quarter window	F4Q OP	Multiple	Valuation shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	1,712.124	20x	158.450000	214.914397

Ceiling quarter	Four-quarter window	F4Q OP	Multiple	Valuation shares	Ceiling
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	1,876.007	20x	158.600000	235.345851
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	2,066.378	20x	158.750000	259.075641
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	2,202.406	20x	158.900000	275.901989
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	2,340.140	20x	159.050000	292.911022
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	2,482.042	20x	159.200000	310.411750
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	2,622.522	20x	159.350000	327.700986
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	2,708.498	20x	159.500000	338.129566
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	2,786.189	20x	159.650000	347.500724
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	2,846.800	20x	159.800000	354.716512
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	2,907.224	20x	159.950000	361.895501
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	2,950.291	20x	160.100000	366.886435
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	3,008.361	20x	160.250000	373.740554
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	3,073.249	20x	160.400000	381.431904
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	3,151.136	20x	160.550000	390.728274

Retained full company analysis and source exhibits

1amInvesting | Full company research | Framework 8.0

Teradyne

TER | NASDAQ | 2026-10-20

Q4 2027 model ceiling: USD 310.41

Analytical Base 44/60 = 73 | Qualified technology bottleneck / Watchlist

20x forward-four-quarter consolidated GAAP operating profit, less20x matching minority operating-profit reserve and $139.296m pension deficit, divided by end-window diluted shares. No cash addition. Quarter includes itself plus nextthree.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	2,482.042332	20x	159.200000	310.411750

The valuation retains matching minority-profit and pension claims, end-window diluted shares, full GAAP operating costs and no cash addition. Probabilities enter the operating bridge once.

Economic scope and matching claims

GAAP consolidated OP including SBC, depreciation and acquired amortization, with one explicit MLTP minority-interest claim reserve.. 20x forward-four-quarter consolidated GAAP operating profit, less20x matching minority operating-profit reserve and $139.296m pension deficit, divided by end-window diluted shares. No cash addition. Quarter includes itself plus nextthree.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD m unless a different unit is stated.

Investment judgment

Teradyne is a qualified production-test bottleneck with a credible route to more compute share, more test content and a broader customer wallet. Qualified competitors and customer dual sourcing limit its pricing and market share. The active Q4 2027 ceiling is **$310.41 per share**, using 20× forward-four-quarter GAAP operating profit, an explicit minority-profit and pension claim adjustment, and 159.2 million end-window diluted shares. The analytical Base is **44/60, or 73%**. The central investment question is whether qualification wins turn into repeat production orders quickly enough to sustain growth after customers digest their first-half 2026 tester purchases.

Photon100 matters, but the whole company does not depend on a single CPO adoption date. Teradyne can sell electrical wafer and package test, optical instrumentation, memory test, system-level test, board test and robotics into different manufacturing stages. That breadth spreads architecture risk while making revenue attribution harder. One integrated test system must not be counted as several full systems merely because it performs several insertions.

The original full research was prepared October 7, 2026; the current Framework 8.0 full rescore is dated October 20, 2026. It is new coverage; a portfolio listing does not establish a holding. The model covers 18 calendar quarters through Q4 2030 and prices each labeled ceiling quarter plus its next three quarters. Near-term calendar labels approximate Teradyne's corresponding fiscal quarters, whose period ends differ by only a few days.

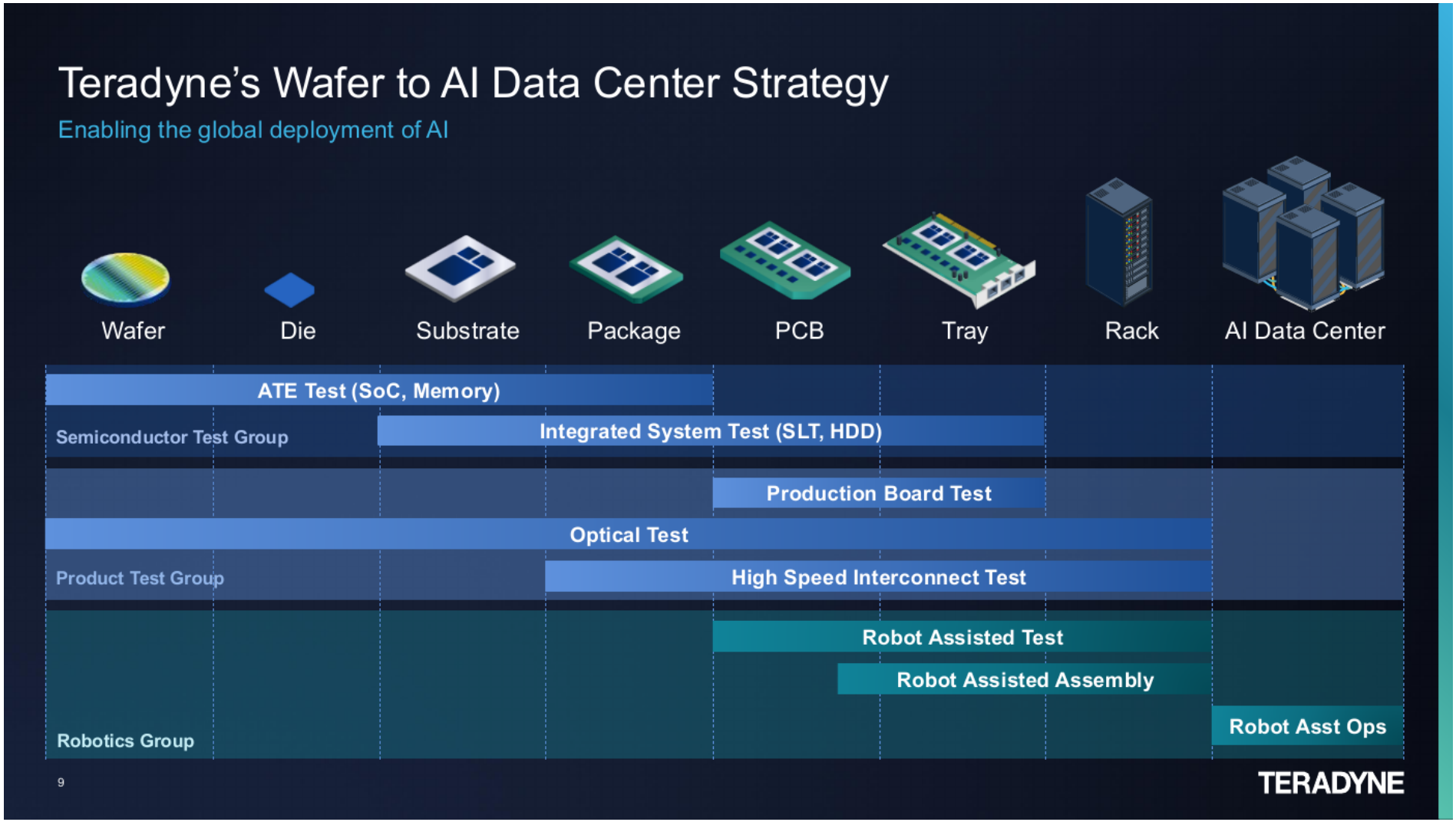
Business and engineering

The essential product is a verified test result at acceptable cost and throughput. A high-value chiplet package can become scrap when a defective component escapes earlier screening. Test therefore competes against the customer's cost of lost yield, field failure and delayed deployment, as well as the price of another tester. Power delivery, thermal control, signal integrity, test software and correlation with the customer's design are part of the qualification barrier.

The June 8 Tokyo Electron collaboration combines UltraFLEXplus with the Prexa singulated-device prober for known-good-device screening. It is commercially available and supports insertion before costly advanced packaging. The architecture remains open to other probers and testers. It therefore supports the usefulness of earlier screening without establishing an exclusive Teradyne or Tokyo Electron socket.

Teradyne relies substantially on contract manufacturing. The annual report identifies Flex, Plexus and SAM Meerkat as important manufacturing partners. In April, management said UltraFLEXplus shipments had more than doubled over nine months while lead times remained 12-16 weeks. That is evidence of scalable supply response, not an industry-wide shortage of Teradyne tools. Qualification and customer-program share are currently stronger parts of the thesis than unlimited scarcity pricing.

Original issuer exhibit | Several test insertions serve one device; a complete integrated test wallet cannot be added to each component again.



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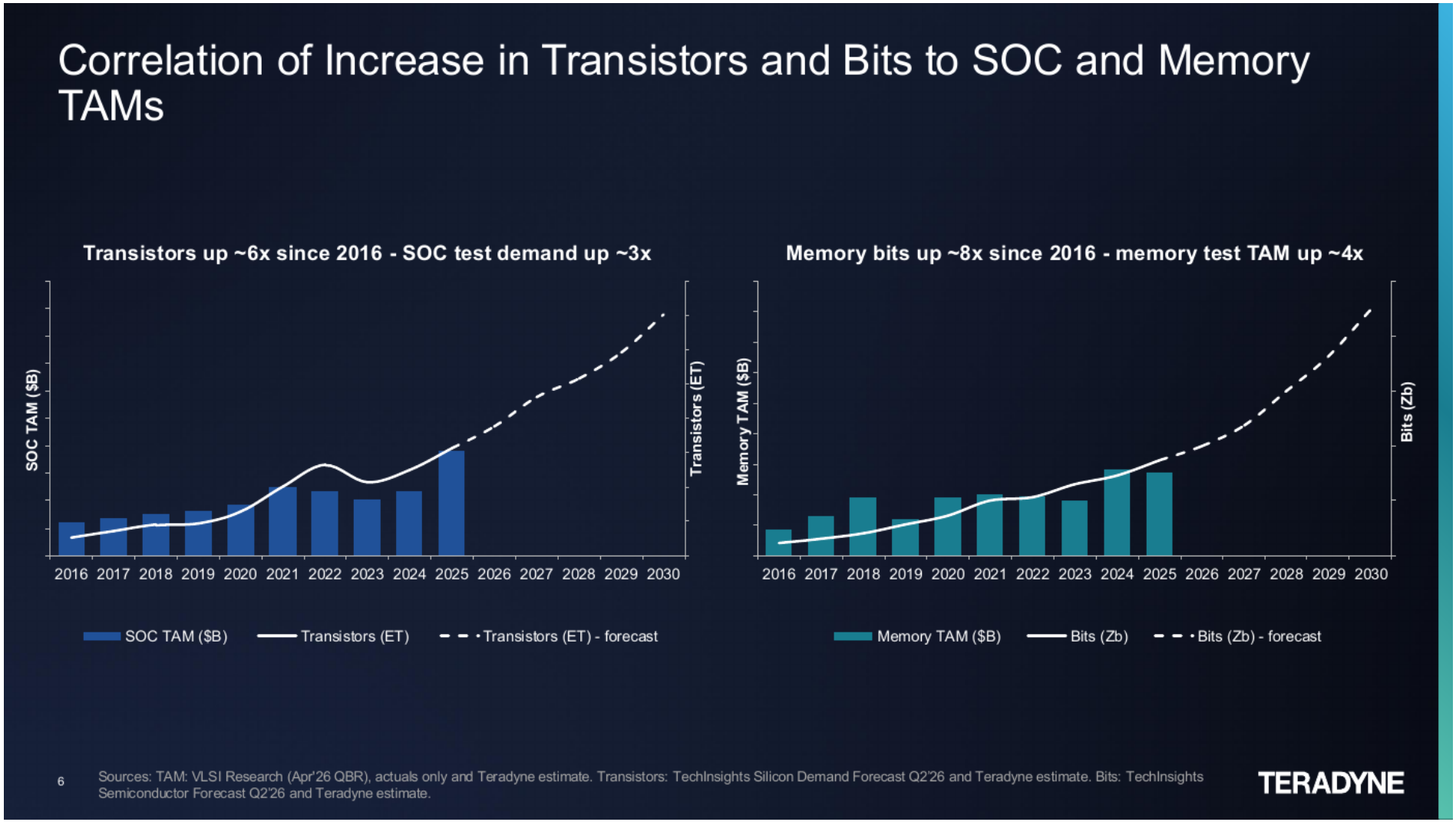
Demand and capacity

Management's July explanation links test to transistor and memory-bit production, both forecast to grow 15-20% annually over the medium term. Wafer growth is slower, at 5-10%. Advanced packaging adds another driver because costly multi-die devices require lower defect escape rates. However, historical test spending has grown more slowly than transistor or bit counts. More parallel sites, better algorithms and higher throughput can reduce the spending required per unit tested.

The company sees a route to at least $20 billion of annual ATE industry demand by the end of the decade. This is a management scenario, not contracted revenue. The model's 2030 reference Semiconductor Test revenue is $7.005 billion before incremental branches, within that larger market but requiring durable competitive share. Product Test and Robotics serve additional markets; they are not added to the ATE denominator when calculating its capture.

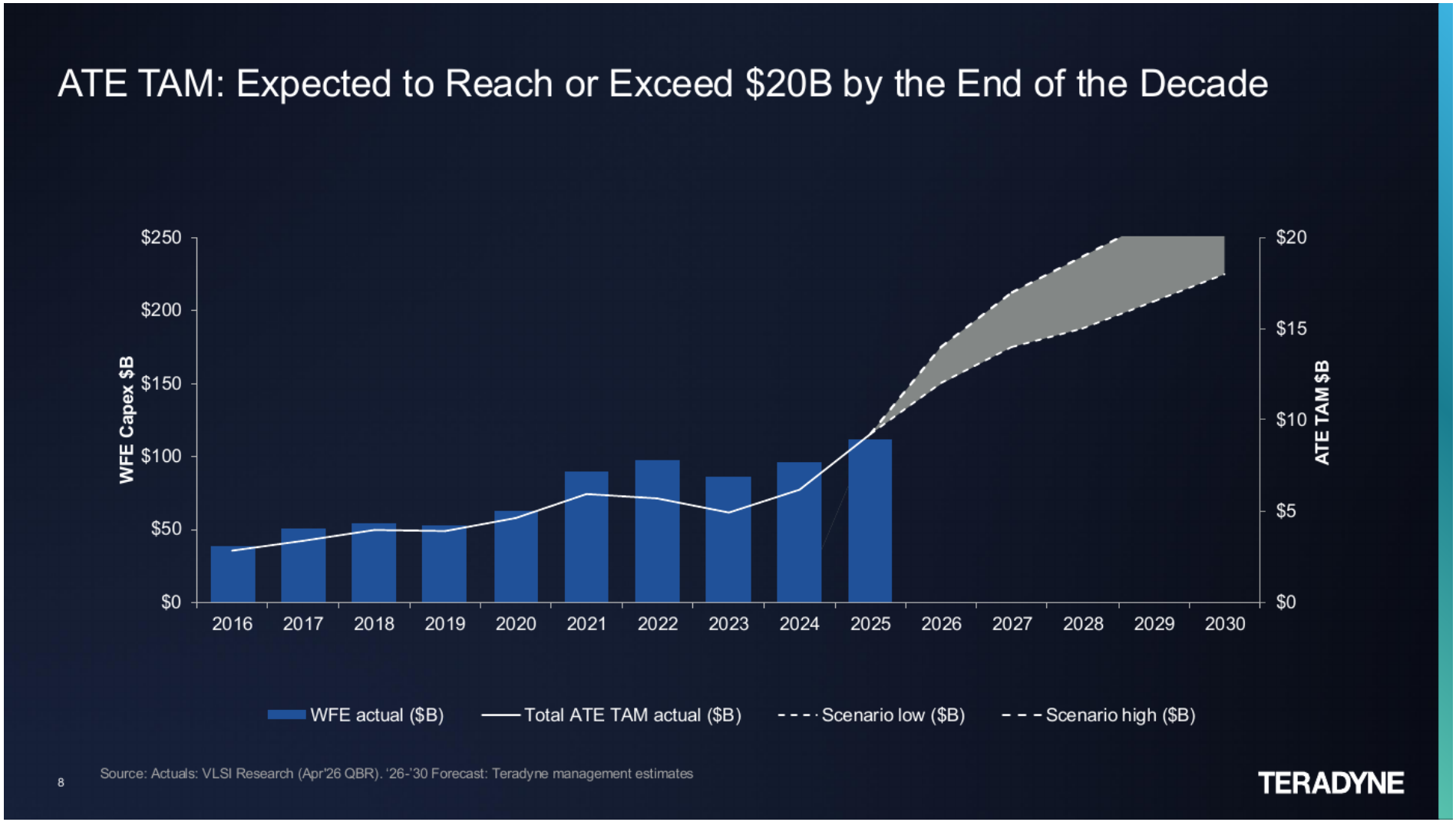
The revenue build is calibrated to disclosed businesses rather than multiplying hyperscaler construction budgets by an arbitrary take rate. Customer demand reaches Teradyne through fabricated wafers and bits, qualified device programs, required test seconds and accepted equipment. Public information does not provide complete customer-specific test budgets, so the independent share-gain branch uses an explicitly labeled eligible equipment-wallet proxy. It does not pretend that every dollar of AI capex is addressable testing revenue.

Original issuer exhibit | Historical transistor and bit growth exceeds test-market growth: test efficiency prevents one-for-one extrapolation.



Original issuer exhibit | Historical transistor and bit growth exceeds test-market growth: test efficiency prevents one-for-one extrapolation.

Original issuer exhibit | Issuer long-term ATE scenario, not company revenue guidance.



Original issuer exhibit | Issuer long-term ATE scenario, not company revenue guidance.

Latest actuals and guidance

Q2 2026 revenue was $1,328.990 million and GAAP operating profit was $437.810 million. Gross profit of $794.618 million less R&D of $156.284 million, selling and administration of $192.520 million, acquired amortization of $4.972 million and restructuring of $3.032 million reconciles exactly. Non-GAAP operating profit was approximately $448 million. The two earnings bases should not be interchanged.

SoC, Memory and Integrated System Test generated approximately $843 million, $212 million and $67 million; those sum to the Semiconductor Test segment. Product Test contributed $107.248 million and Robotics $99.917 million. More than 60% of consolidated revenue was AI-related, already embedded in these businesses. It is not another revenue vector.

Q3 guidance is $1.2-1.3 billion of revenue, 58-59% non-GAAP gross margin and 28-30% non-GAAP operating margin. The model uses $1.25 billion, 58.5% gross margin and 29% non-GAAP operating margin, then retains a $6 million recurring operating-charge provision to derive $356.5 million GAAP OP. The exact prospective allocation of the $0.06 EPS adjustment between operating amortization and below-the-line affiliate amortization is not disclosed. That allocation remains a specific modeling gap; SBC remains an expense.

The July call places first-half sales at 50-52% of full-year revenue. Selecting 51% gives a $5.120557 billion full-year reference and $1.259073 billion Q4 sales after the Q3 midpoint. This respects the latest outlook and the expected compute digestion period. It does not extend the first-quarter peak operating margin mechanically.

Original issuer exhibit | Non-GAAP financial view; current GAAP OP is separately reconciled in the narrative.

Q2’26 Non-GAAP Results

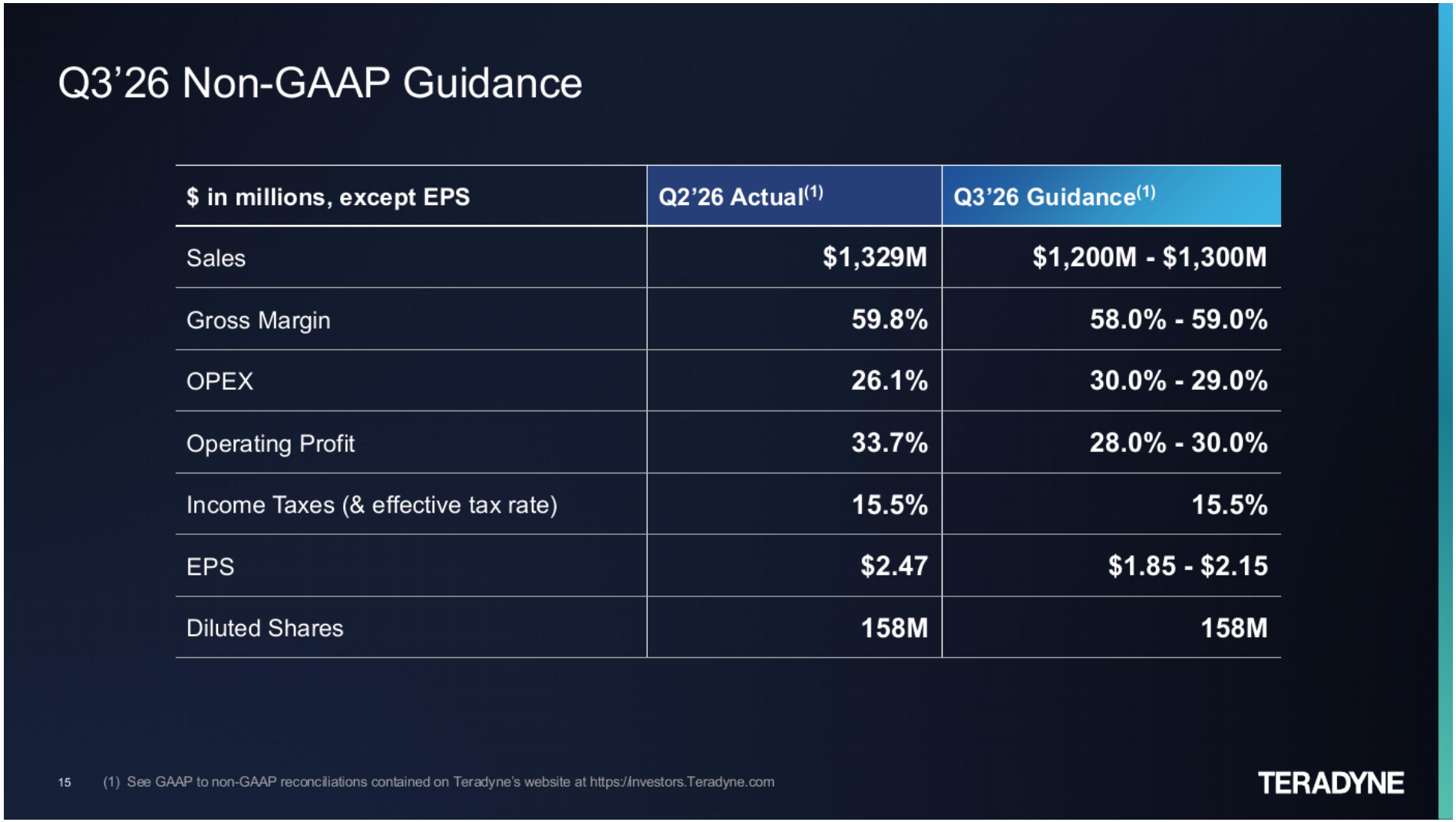
$ in millions, except EPS	Q2’25 Actual(1)		Q1’26 Actual(1)		Q2’26 Actual(1)	
Sales	100%	$652M	100%	$1,282M	100%	$1,329M
Semiconductor Test	*75%*	*$492M*	*87%*	*$1,111M*	*84%*	*$1,122M*
Product Test	*13%*	*$85M*	*6%*	*$80M*	*8%*	*$107M*
Robotics	*12%*	*$75M*	*7%*	*$91M*	*8%*	*$100M*
Gross Margin	57.3%	$373M	60.9%	$781M	59.8%	$795M
R&D	18.2%	$118M	10.6%	$136M	11.8%	$156M
SG&A	24.0%	$157M	12.9%	$165M	14.3%	$190M
OPEX	42.2%	$275M	23.4%	$301M	26.1%	$346M
Operating Profit	15.1%	$98M	37.5%	$480M	33.7%	$448M
Income Taxes *(& effective tax rate)*	13.5%	$14M	15.5%	$73M	15.5%	$70M
EPS		$0.57		$2.56		$2.47
Diluted Shares		160M		158M		158M

13 (1) See GAAP to non-GAAP reconciliations contained on Teradyne’s website at https://investors.Teradyne.com

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Original issuer exhibit | Non-GAAP financial view; current GAAP OP is separately reconciled in the narrative.

Original issuer exhibit | Q3 non-GAAP midpoint calibration. The model retains GAAP operating charges.



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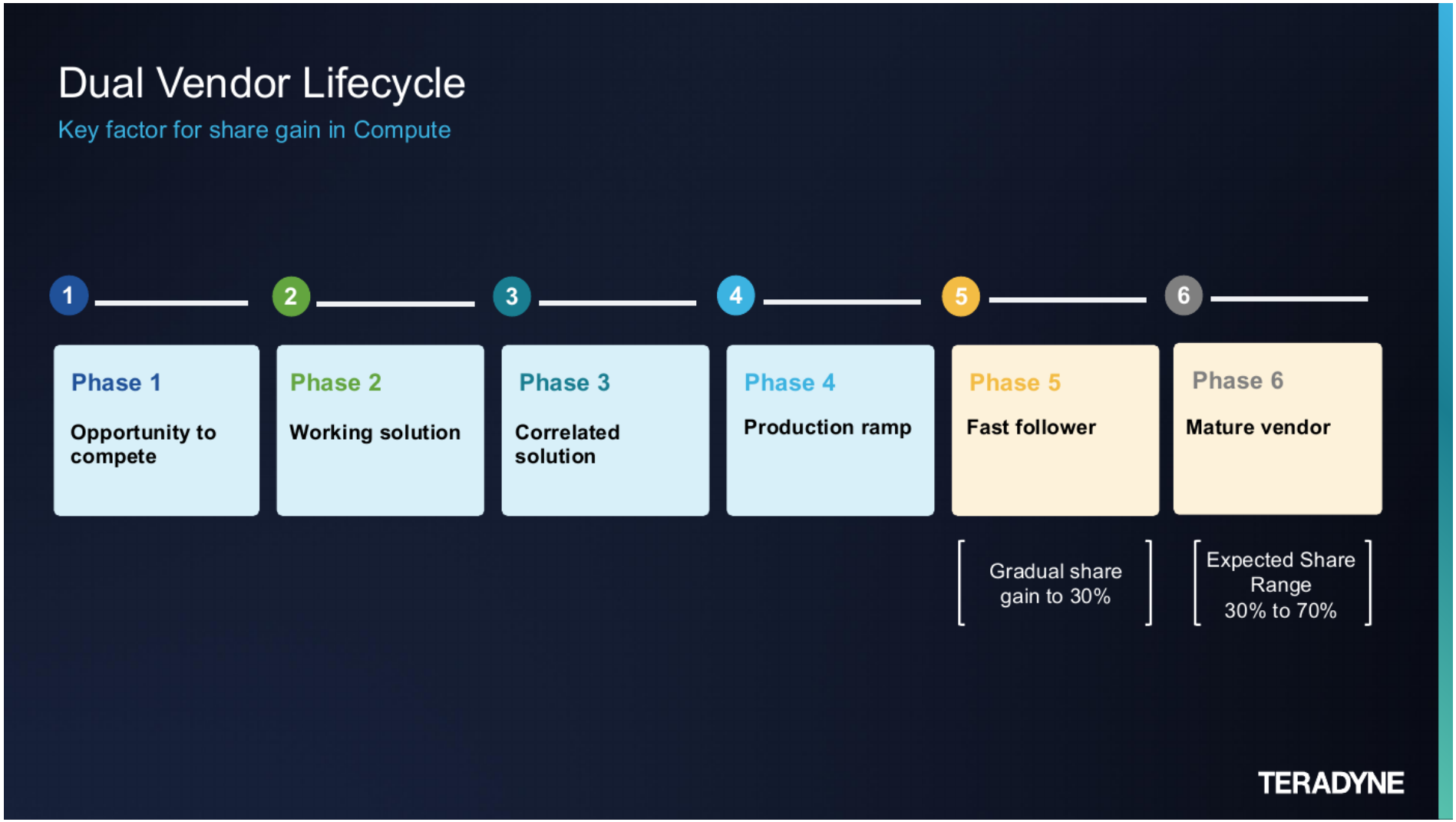
Dual-vendor economics

The first merchant-GPU production order was received in Q1 and delivered in Q2. A second hyperscaler completed correlation in early Q3. Management describes a 9-12 month process from initial competition through production, followed by a fast-follower period in which share can build toward 30%. The mature dual-vendor relationship is a later state, not an immediate assumption.

The model assigns 65% probability to incremental 2027 conversion. A $1 billion annual eligible equipment wallet, bounded at $0.7-1.3 billion, times 15% new share produces $150 million gross opportunity. Removing 40% already represented in the reference leaves $90 million conditional revenue. The active contribution is $58.5 million revenue and $25.74 million operating profit after 62% gross margin and 18% incremental engineering/customer-support costs. The probability applies once.

Reference SoC revenue rises from the current run rate to $3.55 billion in 2027, then $4.02/$4.41/$4.73 billion in 2028-30. That path already includes rising device complexity and existing customers. The separate branch models additional sourcing share, with a defined overlap haircut. A failed correlation or a two-quarter acceptance delay would reduce its probability.

Original issuer exhibit | Qualification precedes production and share accrual; the fast-follower process differs from mature sourcing.



Original issuer exhibit | Qualification precedes production and share accrual; the fast-follower process differs from mature sourcing.

Photon100 and optical test

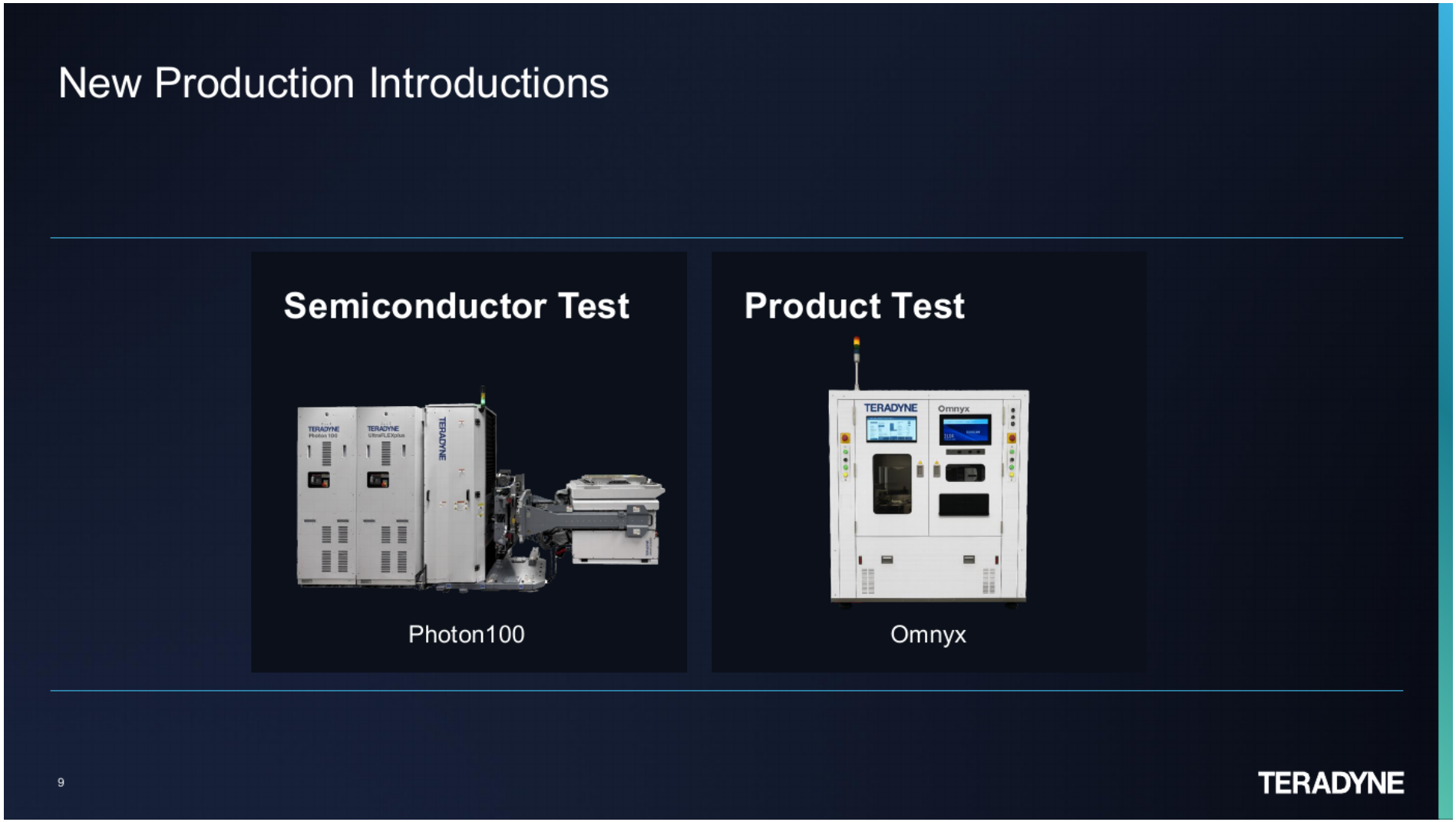
Photon100 combines optical and electrical instrumentation with UltraFLEXplus. It supports wafer, optical-engine and co-packaged-module testing. The engineering attraction is automated, correlated measurement across production rather than collections of manually integrated laboratory instruments. Quantifi provides complementary optical-test capability. Neither the launch nor acquisition discloses a complete named-customer award, accepted system count, realized ASP or production market share.

Management estimates a $300-700 million annual CPO test market by 2028. The active hypothesis selects the $500 million midpoint and 35% Teradyne capture, producing $175 million conditional company revenue. The reference already includes $45 million of optical sales inside existing segments, leaving a $130 million increment. At 60% probability, that is $78 million incremental revenue and $22.8 million OP after variable engineering/support and $14 million annual qualification expense. The 2027 contribution is smaller: $24 million revenue and $3.6 million OP.

This method prices an identifiable engineering opportunity before all commercial details are public. It also bounds the result. Test efficiency, optical coupling, multisite parallelism and architecture choices can shrink equipment dollars per device. The model does not translate optical-module TAM directly into tester sales or assume that every insertion requires a separate full platform.

Iris100, announced in September, measures microLED arrays and supports combined optical/electrical testing. It offers exposure to a possible alternative emitter architecture and AR displays. No additional standalone microLED TAM is added: the current photonics branch is a combined wallet, while the installed business already addresses optical instruments. Production-tool readiness does not establish immediate mass deployment of microLED data-center links.

Original issuer exhibit | Photon100 is an integrated opto-electric tester; Omnyx serves board test. These are different products, not proof of named customer awards.



Original issuer exhibit | Photon100 is an integrated opto-electric tester; Omnyx serves board test. These are different products, not proof of named customer awards.

Burn-in and architectural competition

On October 6, Teradyne stated that enhanced Titan HP burn-in was available and deployed in production. Per-device junction-temperature control and asynchronous slots can combine reliability stress with system-level test. The economic benefit is fewer separate handling steps and better utilization, but the integrated function can also replace existing spending.

A 65% probability branch models 24 incremental system-equivalents in 2027 at an assumed $2 million each. The range is 12-36 systems and $1.5-2.5 million; none is a disclosed order or price. Removing 50% for replacement and ordinary IST growth leaves $24 million conditional revenue. At 55% GM and 18% incremental support/R&D, the weighted contribution is $15.6 million revenue and $5.772 million OP. This signal is relevant competitive evidence for other burn-in vendors, but it does not prove displacement of a particular supplier or negate wafer-level qualification.

Memory test economics

Memory's Q2 book-to-bill exceeded two, with HBM, DRAM and NAND final test all supporting demand. Magnum's logic capability permits some base-die and memory workloads to share equipment. The September Magnum E2 extends high-speed protocol coverage and places instruments near the device to protect signal integrity. Its throughput and flexible reuse matter because customer economics are governed by good devices tested per hour, not pin count alone.

The reference models Memory revenue of $1.18/$1.41/$1.57/$1.73 billion in 2027-30, with slower growth after the initial expansion. Product gross margins are estimated separately, calibrated against consolidated financials. The segment tables exclude some compensation and other costs from their displayed cost-of-sales lines; those lines are not complete GAAP product gross margins.

Robotics, competition and failure tests

The queue's robotics weakness needs updating. Revenue has recovered through five sequential quarters, reaching $99.917 million, but Q2 segment pretax loss remained $2.576 million. A larger sales base has therefore not yet established attractive operating economics. The reference models a gradual recovery, then applies a 35% probability of 15% lower robotics sales. Lost gross profit is only partly offset by variable expenses; fixed sales, service and development remain.

Advantest, Cohu and SPEA compete in semiconductor test. Product Test faces Keysight, Anritsu, Test Research and other established suppliers. Robotics competes with ABB, FANUC, Yaskawa, KUKA, Doosan, Techman and numerous cobot/AMR providers. The qualification moat is real but not unique. Customers actively want a second supplier, which helps Teradyne enter some accounts and limits monopoly economics in others.

Five direct customers represented 44% of 2025 sales. Specifying customers and purchasing customers overlap, so their percentages cannot be added. End-market concentration is also rising as large compute programs become more important. Strong growth can still be interrupted by capacity digestion, failed customer programs, export controls or a competitor's more efficient solution.

Claims, shares and funding

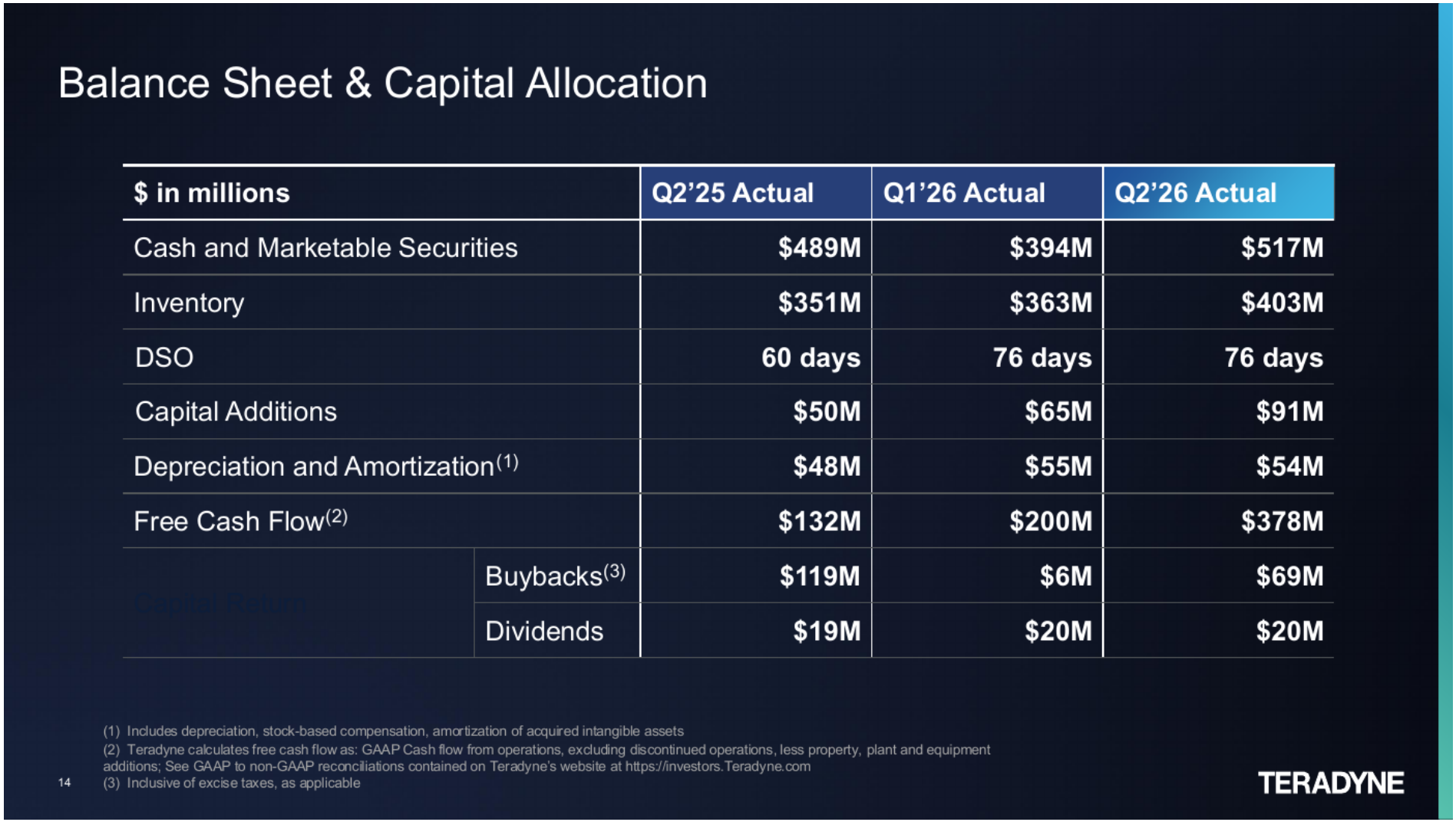
July 27 common shares were 156.340750 million; Q2 weighted diluted shares were 157.693 million and Q3 guidance uses 158 million. The model begins with 158 million and adds 0.15 million quarterly for net employee dilution. It gives no credit for future buyback authorization. The valuation denominator is the last quarter of the exact earnings window, reaching 159.2 million for Q4 2027.

June cash was $349.538 million, short-term securities $5.291 million and long-term securities $162.274 million. The revolver had no outstanding balance; its December 2026 expiry remains a renewal watch. Neither the unused facility nor $514.957 million equity-method investment is treated as operating cash. The funding bridge uses only cash plus short-term securities and excludes future acquisitions.

GAAP OP consolidates all MLTP results although Teradyne owns 75%. Standalone MLTP OP is undisclosed. A minority operating-profit reserve, initially $0.5 million per quarter and gradually rising, is capitalized at the same 20× and deducted once. This is an assumption, not reported subsidiary profit. The pension deficit of $139.296 million is also deducted once. No cash or Technoprobe stake value is added, and operating leases remain within expenses.

The retained pre-October-20 funding model found all 32 combinations of the five original operating branches funded under the stated working-capital, tax, capex and distribution assumptions. Opening liquid funds are $354.829 million; minimum modeled subsequent quarter-end cash is $534.215 million. The bridge reserves an additional $90 million near-term tax settlement, includes pension contributions and employee withholding, and permits buybacks only above a cash floor. It does not add the presentation's combined depreciation/SBC line and then add SBC again.

Original issuer exhibit | The slide D&A footnote includes SBC; funding separates both, preventing a double addback.



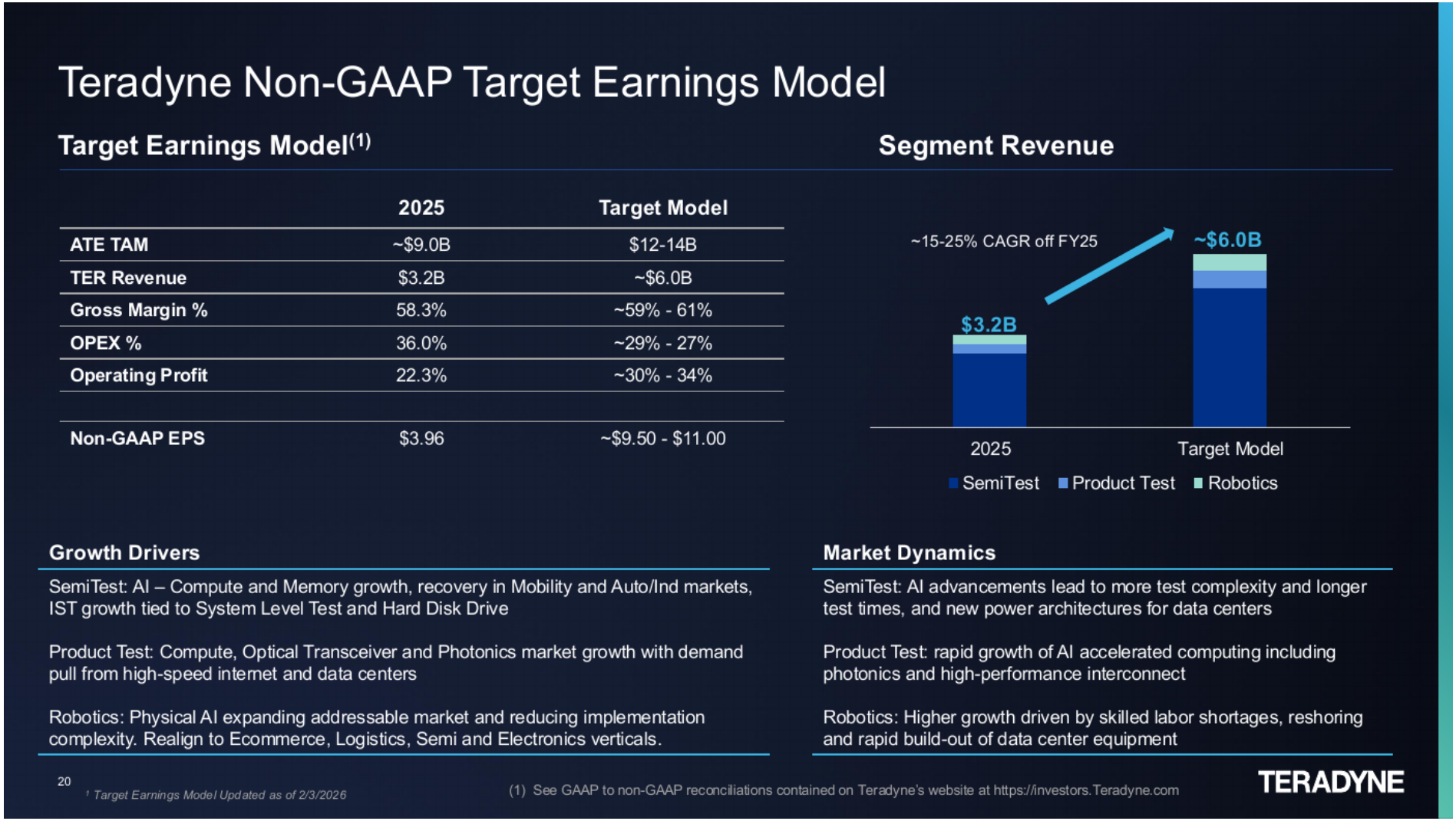
Original issuer exhibit | The slide D&A footnote includes SBC; funding separates both, preventing a double addback.

Valuation and crosschecks

Annual active revenue reaches $6.177/$7.424/$8.136/$8.807 billion in 2027-2030, with GAAP OP of $2.066/$2.623/$2.907/$3.151 billion. These are model estimates rather than annual guidance. At roughly $6 billion in sales, the 2027 operating margin is near the top of the company's existing 30-34% non-GAAP target band; it requires favorable compute/memory mix and discipline despite customer-team investment. Later margins above that band require continued scale and are a material sensitivity.

The 20× multiple is the default new-company operating-profit convention, not a multiple chosen to reproduce the stock quote. A five-point reduction in gross margin, applied to the same F4Q revenue without assumed cost cuts, materially lowers the ceiling. The complete tables and probability ledger expose those drivers so a later update can change a single assumption without rewriting the valuation method. The score reflects a strong engineering franchise diluted by competition, concentration, execution and cycle risk; it is not a probability applied again to the modeled profit.

Original issuer exhibit | February target model is an issuer ambition, not dated2027 guidance; October model is independently derived.

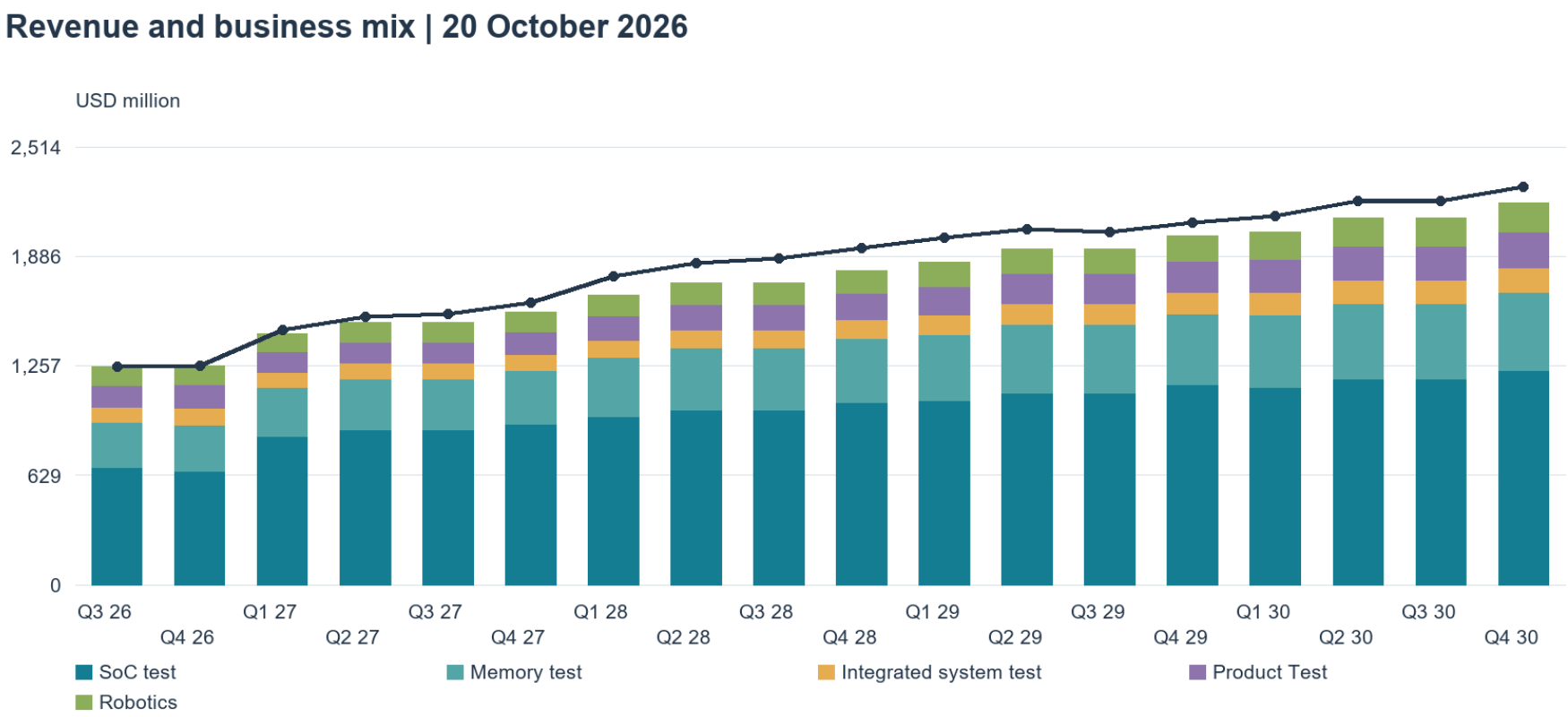


Original issuer exhibit | February target model is an issuer ambition, not dated2027 guidance; October model is independently derived.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Qualified installed-base platform and engineering moat, with a formidable competing vendor rather than monopoly.
Cycle	8	AI test ramp is established; second-half capacity digestion remains visible.
TAM	8	Transistors, memory bits and packaging quality broaden test; efficiency offsets one-for-one intensity.
Catalysts	4	2027 dual-source ramps, Photon100 acceptance and production burn-in adoption.
Macro	9	AI fab and data-center investment, balanced by export controls.
Alpha	2	Technical wallet detail adds value; widely covered leader.
Risk classes	-4	Customer/program concentration, competitive price/share pressure, optical/robotics execution, and cyclical capex/export risk.
Total	44/60	Rounded Base 73. Both artifact and new workbook row use this score; this is not a manual override.

Revenue and business mix



Current model revenue and business mix. Exact data are in the immediately following table.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	1,250.000	0.000	1,250.000
Q4 2026	1,259.073	0.000	1,259.073
Q1 2027	1,443.600	19.515	1,463.115
Q2 2027	1,503.750	34.752	1,538.502
Q3 2027	1,503.750	49.800	1,553.550
Q4 2027	1,563.900	57.712	1,621.612

Quarter	Reference revenue	Weighted net change	Active revenue
Q1 2028	1,664.400	108.456	1,772.856
Q2 2028	1,733.750	113.368	1,847.118
Q3 2028	1,733.750	138.710	1,872.460
Q4 2028	1,803.100	128.574	1,931.674
Q1 2029	1,851.600	139.342	1,990.942
Q2 2029	1,928.750	112.339	2,041.089
Q3 2029	1,928.750	95.506	2,024.256
Q4 2029	2,005.900	73.451	2,079.351
Q1 2030	2,023.200	94.621	2,117.821
Q2 2030	2,107.500	94.310	2,201.810
Q3 2030	2,107.500	94.310	2,201.810
Q4 2030	2,191.800	93.999	2,285.799

Gross profit, operating expenses and earnings

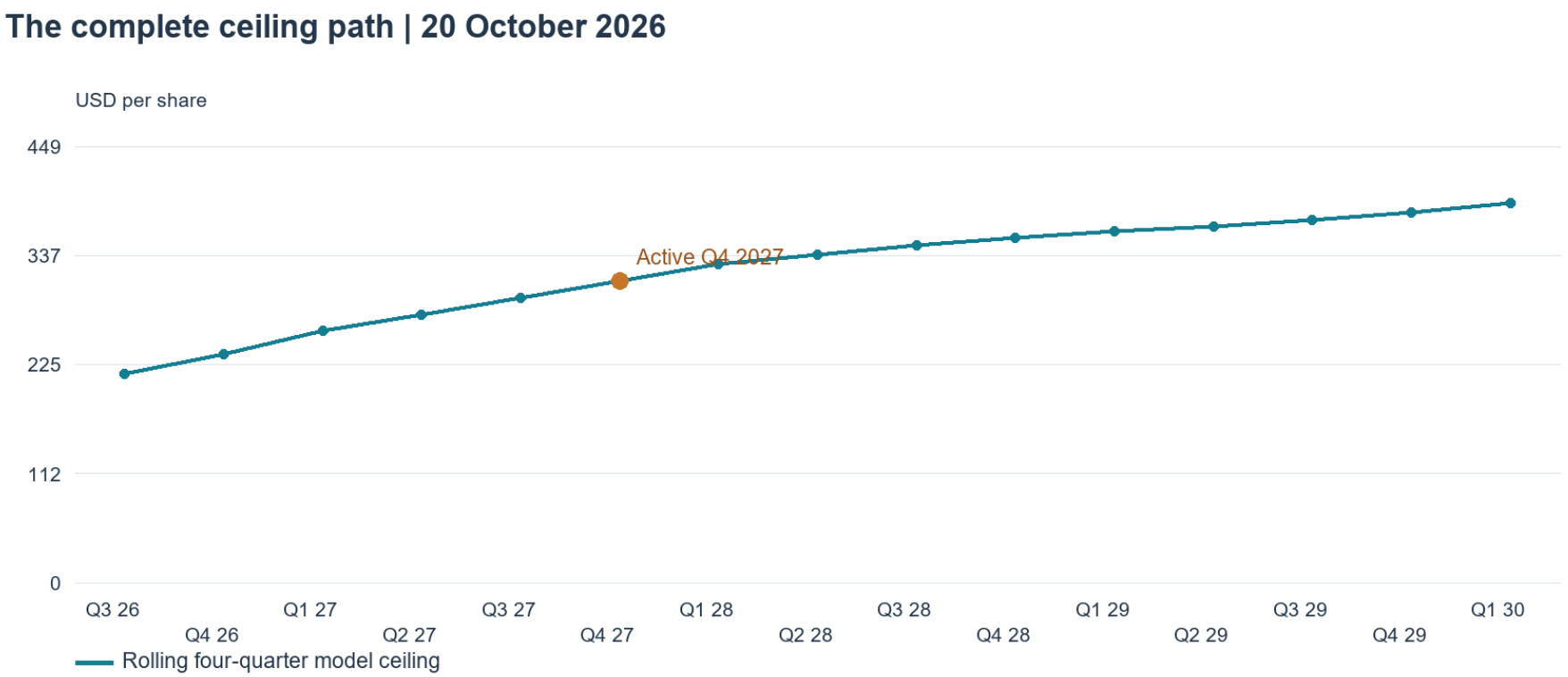


Current model gross profit, operating expenses and earnings. Exact data are in the immediately following table.

Quarter	Revenue	GP	Opex	GAAP OP	OP margin
Q3 2026	1,250.000	731.250	374.750	356.500	28.52%
Q4 2026	1,259.073	744.112	374.750	369.362	29.34%
Q1 2027	1,463.115	879.739	407.766	471.973	32.26%
Q2 2027	1,538.502	924.808	410.520	514.289	33.43%
Q3 2027	1,553.550	933.611	413.228	520.383	33.50%
Q4 2027	1,621.612	974.396	414.663	559.732	34.52%

Quarter	Revenue	GP	Opex	GAAP OP	OP margin
Q1 2028	1,772.856	1,073.956	465.954	608.002	34.30%
Q2 2028	1,847.118	1,118.873	466.851	652.022	35.30%
Q3 2028	1,872.460	1,133.698	471.412	662.286	35.37%
Q4 2028	1,931.674	1,169.813	469.600	700.212	36.25%
Q1 2029	1,990.942	1,204.039	510.062	693.977	34.86%
Q2 2029	2,041.089	1,234.930	505.216	729.714	35.75%
Q3 2029	2,024.256	1,225.082	502.186	722.896	35.71%
Q4 2029	2,079.351	1,258.867	498.231	760.637	36.58%
Q1 2030	2,117.821	1,279.079	542.035	737.044	34.80%
Q2 2030	2,201.810	1,329.780	541.996	787.784	35.78%
Q3 2030	2,201.810	1,329.780	541.996	787.784	35.78%
Q4 2030	2,285.799	1,380.481	541.957	838.524	36.68%

The complete ceiling path

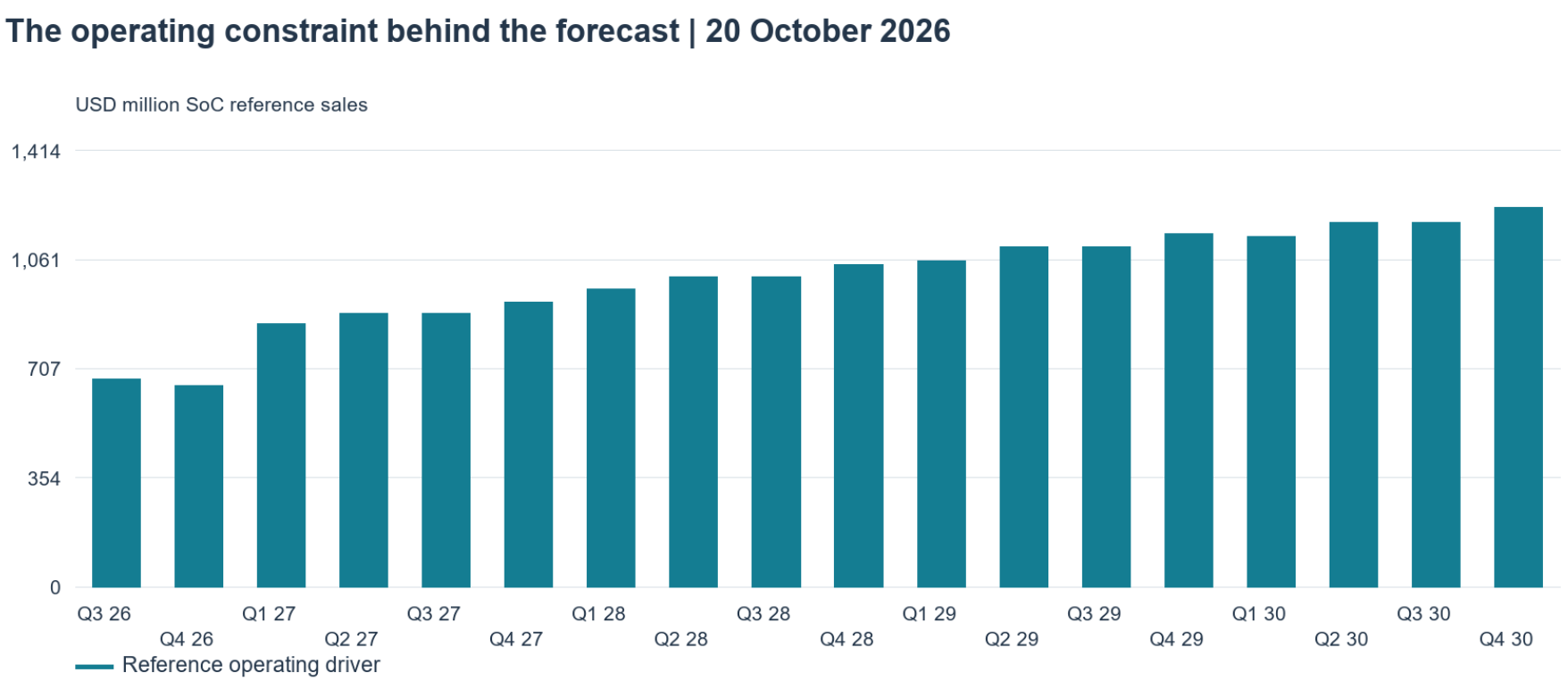


Current model the complete ceiling path. Exact data are in the immediately following table.

Quarter	Earnings window	F4Q OP	Multiple	Shares	Ceiling USD
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	1,712.124	20x	158.450000	214.914397
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	1,876.007	20x	158.600000	235.345851
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	2,066.378	20x	158.750000	259.075641
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	2,202.406	20x	158.900000	275.901989

Quarter	Earnings window	F4Q OP	Multiple	Shares	Ceiling USD
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	2,340.140	20x	159.050000	292.911022
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	2,482.042	20x	159.200000	310.411750
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	2,622.522	20x	159.350000	327.700986
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	2,708.498	20x	159.500000	338.129566
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	2,786.189	20x	159.650000	347.500724
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	2,846.800	20x	159.800000	354.716512
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	2,907.224	20x	159.950000	361.895501
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	2,950.291	20x	160.100000	366.886435
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	3,008.361	20x	160.250000	373.740554
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	3,073.249	20x	160.400000	381.431904
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	3,151.136	20x	160.550000	390.728274

The operating constraint behind the forecast



Current model the operating constraint behind the forecast. Exact data are in the immediately following table.

The reference SoC sales driver below is preserved. The new accepted-demand timing branch is shown separately in the complete probability bridge; it is not an invented physical tester count.

Quarter	Reference SoC sales USD million	Status
Q3 2026	675.000	Guidance-anchored model
Q4 2026	652.073	Guidance-anchored model
Q1 2027	852.000	Model; calibrated production and customer qualification
Q2 2027	887.500	Model; calibrated production and customer qualification

Quarter	Reference SoC sales USD million	Status
Q3 2027	887.500	Model; calibrated production and customer qualification
Q4 2027	923.000	Model; calibrated production and customer qualification
Q1 2028	964.800	Model; calibrated production and customer qualification
Q2 2028	1,005.000	Model; calibrated production and customer qualification
Q3 2028	1,005.000	Model; calibrated production and customer qualification
Q4 2028	1,045.200	Model; calibrated production and customer qualification
Q1 2029	1,058.400	Model; calibrated production and customer qualification
Q2 2029	1,102.500	Model; calibrated production and customer qualification
Q3 2029	1,102.500	Model; calibrated production and customer qualification
Q4 2029	1,146.600	Model; calibrated production and customer qualification
Q1 2030	1,135.200	Model; calibrated production and customer qualification
Q2 2030	1,182.500	Model; calibrated production and customer qualification
Q3 2030	1,182.500	Model; calibrated production and customer qualification
Q4 2030	1,229.800	Model; calibrated production and customer qualification

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	SoC test, including compute and existing photonics	675.0	58.7%	396.2
Q3 2026	Memory test	260.0	61.0%	158.6
Q3 2026	Integrated system test, including HDD and SLT	85.0	51.0%	43.4
Q3 2026	Product Test, including optical instruments and MLTP	125.0	61.5%	76.9

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Robotics	105.0	53.5%	56.2
Q4 2026	SoC test, including compute and existing photonics	652.1	60.0%	391.1
Q4 2026	Memory test	265.0	61.0%	161.7
Q4 2026	Integrated system test, including HDD and SLT	95.0	51.0%	48.5
Q4 2026	Product Test, including optical instruments and MLTP	135.0	61.5%	83.0
Q4 2026	Robotics	112.0	53.5%	59.9
Q1 2027	SoC test, including compute and existing photonics	852.0	60.9%	518.9
Q1 2027	Memory test	283.2	61.0%	172.8
Q1 2027	Integrated system test, including HDD and SLT	85.2	53.5%	45.6
Q1 2027	Product Test, including optical instruments and MLTP	117.6	62.2%	73.1
Q1 2027	Robotics	105.6	54.0%	57.0
Q2 2027	SoC test, including compute and existing photonics	887.5	60.9%	540.5
Q2 2027	Memory test	295.0	61.0%	179.9
Q2 2027	Integrated system test, including HDD and SLT	88.8	53.5%	47.5
Q2 2027	Product Test, including optical instruments and MLTP	122.5	62.2%	76.2
Q2 2027	Robotics	110.0	54.0%	59.4
Q3 2027	SoC test, including compute and existing photonics	887.5	60.9%	540.5
Q3 2027	Memory test	295.0	61.0%	179.9

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2027	Integrated system test, including HDD and SLT	88.8	53.5%	47.5
Q3 2027	Product Test, including optical instruments and MLTP	122.5	62.2%	76.2
Q3 2027	Robotics	110.0	54.0%	59.4
Q4 2027	SoC test, including compute and existing photonics	923.0	60.9%	562.1
Q4 2027	Memory test	306.8	61.0%	187.1
Q4 2027	Integrated system test, including HDD and SLT	92.3	53.5%	49.4
Q4 2027	Product Test, including optical instruments and MLTP	127.4	62.2%	79.2
Q4 2027	Robotics	114.4	54.0%	61.8
Q1 2028	SoC test, including compute and existing photonics	964.8	61.3%	591.4
Q1 2028	Memory test	338.4	61.5%	208.1
Q1 2028	Integrated system test, including HDD and SLT	100.8	55.0%	55.4
Q1 2028	Product Test, including optical instruments and MLTP	139.2	62.5%	87.0
Q1 2028	Robotics	121.2	55.0%	66.7
Q2 2028	SoC test, including compute and existing photonics	1,005.0	61.3%	616.1
Q2 2028	Memory test	352.5	61.5%	216.8
Q2 2028	Integrated system test, including HDD and SLT	105.0	55.0%	57.8
Q2 2028	Product Test, including optical instruments and MLTP	145.0	62.5%	90.6
Q2 2028	Robotics	126.2	55.0%	69.4

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2028	SoC test, including compute and existing photonics	1,005.0	61.3%	616.1
Q3 2028	Memory test	352.5	61.5%	216.8
Q3 2028	Integrated system test, including HDD and SLT	105.0	55.0%	57.8
Q3 2028	Product Test, including optical instruments and MLTP	145.0	62.5%	90.6
Q3 2028	Robotics	126.2	55.0%	69.4
Q4 2028	SoC test, including compute and existing photonics	1,045.2	61.3%	640.7
Q4 2028	Memory test	366.6	61.5%	225.5
Q4 2028	Integrated system test, including HDD and SLT	109.2	55.0%	60.1
Q4 2028	Product Test, including optical instruments and MLTP	150.8	62.5%	94.2
Q4 2028	Robotics	131.3	55.0%	72.2
Q1 2029	SoC test, including compute and existing photonics	1,058.4	61.0%	645.6
Q1 2029	Memory test	376.8	61.2%	230.6
Q1 2029	Integrated system test, including HDD and SLT	115.2	56.0%	64.5
Q1 2029	Product Test, including optical instruments and MLTP	163.2	62.5%	102.0
Q1 2029	Robotics	138.0	56.0%	77.3
Q2 2029	SoC test, including compute and existing photonics	1,102.5	61.0%	672.5
Q2 2029	Memory test	392.5	61.2%	240.2
Q2 2029	Integrated system test, including HDD and SLT	120.0	56.0%	67.2

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2029	Product Test, including optical instruments and MLTP	170.0	62.5%	106.2
Q2 2029	Robotics	143.8	56.0%	80.5
Q3 2029	SoC test, including compute and existing photonics	1,102.5	61.0%	672.5
Q3 2029	Memory test	392.5	61.2%	240.2
Q3 2029	Integrated system test, including HDD and SLT	120.0	56.0%	67.2
Q3 2029	Product Test, including optical instruments and MLTP	170.0	62.5%	106.2
Q3 2029	Robotics	143.8	56.0%	80.5
Q4 2029	SoC test, including compute and existing photonics	1,146.6	61.0%	699.4
Q4 2029	Memory test	408.2	61.2%	249.8
Q4 2029	Integrated system test, including HDD and SLT	124.8	56.0%	69.9
Q4 2029	Product Test, including optical instruments and MLTP	176.8	62.5%	110.5
Q4 2029	Robotics	149.5	56.0%	83.7
Q1 2030	SoC test, including compute and existing photonics	1,135.2	60.7%	689.1
Q1 2030	Memory test	415.2	61.0%	253.3
Q1 2030	Integrated system test, including HDD and SLT	130.8	56.8%	74.3
Q1 2030	Product Test, including optical instruments and MLTP	186.0	62.3%	115.9
Q1 2030	Robotics	156.0	56.5%	88.1
Q2 2030	SoC test, including compute and existing photonics	1,182.5	60.7%	717.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Memory test	432.5	61.0%	263.8
Q2 2030	Integrated system test, including HDD and SLT	136.2	56.8%	77.4
Q2 2030	Product Test, including optical instruments and MLTP	193.8	62.3%	120.7
Q2 2030	Robotics	162.5	56.5%	91.8
Q3 2030	SoC test, including compute and existing photonics	1,182.5	60.7%	717.8
Q3 2030	Memory test	432.5	61.0%	263.8
Q3 2030	Integrated system test, including HDD and SLT	136.2	56.8%	77.4
Q3 2030	Product Test, including optical instruments and MLTP	193.8	62.3%	120.7
Q3 2030	Robotics	162.5	56.5%	91.8
Q4 2030	SoC test, including compute and existing photonics	1,229.8	60.7%	746.5
Q4 2030	Memory test	449.8	61.0%	274.4
Q4 2030	Integrated system test, including HDD and SLT	141.7	56.8%	80.5
Q4 2030	Product Test, including optical instruments and MLTP	201.5	62.3%	125.5
Q4 2030	Robotics	169.0	56.5%	95.5

Operating-cost derivation

Quarter	R&D including SBC and depreciation	SG&A including SBC and depreciation	Acquired intangible amortization and recurring integration provision
Q3 2026	175.0	193.8	6.0
Q4 2026	175.0	193.8	6.0
Q1 2027	190.0	206.2	6.0
Q2 2027	190.0	206.2	6.0
Q3 2027	190.0	206.2	6.0
Q4 2027	190.0	206.2	6.0
Q1 2028	212.5	225.0	5.8
Q2 2028	212.5	225.0	5.8
Q3 2028	212.5	225.0	5.8
Q4 2028	212.5	225.0	5.8
Q1 2029	231.2	245.0	5.0
Q2 2029	231.2	245.0	5.0
Q3 2029	231.2	245.0	5.0
Q4 2029	231.2	245.0	5.0
Q1 2030	251.2	265.0	4.5
Q2 2030	251.2	265.0	4.5
Q3 2030	251.2	265.0	4.5
Q4 2030	251.2	265.0	4.5

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + the sum of probability times each bounded conditional increment. All six branches, including negative outcomes, are shown once.

Quarter	Branch	Probability	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	TER-DUAL	65%	0.000	0.000	0.000	0.000
Q3 2026	TER-PHOTON	60%	0.000	0.000	0.000	0.000
Q3 2026	TER-BURNIN	65%	0.000	0.000	0.000	0.000
Q3 2026	TER-PRICE	35%	0.000	0.000	0.000	0.000
Q3 2026	TER-ROBOTICS	35%	0.000	0.000	0.000	0.000
Q3 2026	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	0.000	0.000	0.000	0.000
Q4 2026	TER-DUAL	65%	0.000	0.000	0.000	0.000
Q4 2026	TER-PHOTON	60%	0.000	0.000	0.000	0.000
Q4 2026	TER-BURNIN	65%	0.000	0.000	0.000	0.000
Q4 2026	TER-PRICE	35%	0.000	0.000	0.000	0.000
Q4 2026	TER-ROBOTICS	35%	0.000	0.000	0.000	0.000
Q4 2026	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	0.000	0.000	0.000	0.000
Q1 2027	TER-DUAL	65%	22.500	13.950	4.050	6.435
Q1 2027	TER-PHOTON	60%	10.000	6.200	4.700	0.900
Q1 2027	TER-BURNIN	65%	6.000	3.300	1.080	1.443
Q1 2027	TER-PRICE	35%	1.526	1.220	0.076	0.400
Q1 2027	TER-ROBOTICS	35%	-15.840	-8.554	-1.901	-2.328
Q1 2027	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	0.000	0.000	0.000	0.000
Q2 2027	TER-DUAL	65%	22.500	13.950	4.050	6.435
Q2 2027	TER-PHOTON	60%	10.000	6.200	4.700	0.900
Q2 2027	TER-BURNIN	65%	6.000	3.300	1.080	1.443

Quarter	Branch	Probability	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2027	TER-PRICE	35%	1.589	1.271	0.079	0.417
Q2 2027	TER-ROBOTICS	35%	-16.500	-8.910	-1.980	-2.425
Q2 2027	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	61.783	36.143	11.121	6.256
Q3 2027	TER-DUAL	65%	22.500	13.950	4.050	6.435
Q3 2027	TER-PHOTON	60%	10.000	6.200	4.700	0.900
Q3 2027	TER-BURNIN	65%	6.000	3.300	1.080	1.443
Q3 2027	TER-PRICE	35%	1.589	1.271	0.079	0.417
Q3 2027	TER-ROBOTICS	35%	-16.500	-8.910	-1.980	-2.425
Q3 2027	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	121.974	71.355	21.955	12.350
Q4 2027	TER-DUAL	65%	22.500	13.950	4.050	6.435
Q4 2027	TER-PHOTON	60%	10.000	6.200	4.700	0.900
Q4 2027	TER-BURNIN	65%	6.000	3.300	1.080	1.443
Q4 2027	TER-PRICE	35%	1.653	1.322	0.083	0.434
Q4 2027	TER-ROBOTICS	35%	-17.160	-9.266	-2.059	-2.523
Q4 2027	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	154.457	90.357	27.802	15.639
Q1 2028	TER-DUAL	65%	46.200	28.644	8.316	13.213
Q1 2028	TER-PHOTON	60%	32.500	20.150	10.650	5.700
Q1 2028	TER-BURNIN	65%	12.375	6.806	2.228	2.976
Q1 2028	TER-PRICE	35%	1.755	1.404	0.088	0.461
Q1 2028	TER-ROBOTICS	35%	-18.180	-9.817	-2.182	-2.672

Quarter	Branch	Probability	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2028	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	226.524	132.517	40.774	22.936
Q2 2028	TER-DUAL	65%	46.200	28.644	8.316	13.213
Q2 2028	TER-PHOTON	60%	32.500	20.150	10.650	5.700
Q2 2028	TER-BURNIN	65%	12.375	6.806	2.228	2.976
Q2 2028	TER-PRICE	35%	1.828	1.463	0.091	0.480
Q2 2028	TER-ROBOTICS	35%	-18.938	-10.226	-2.272	-2.784
Q2 2028	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	247.131	144.572	44.484	25.022
Q3 2028	TER-DUAL	65%	46.200	28.644	8.316	13.213
Q3 2028	TER-PHOTON	60%	32.500	20.150	10.650	5.700
Q3 2028	TER-BURNIN	65%	12.375	6.806	2.228	2.976
Q3 2028	TER-PRICE	35%	1.828	1.463	0.091	0.480
Q3 2028	TER-ROBOTICS	35%	-18.938	-10.226	-2.272	-2.784
Q3 2028	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	348.498	203.872	62.730	35.285
Q4 2028	TER-DUAL	65%	46.200	28.644	8.316	13.213
Q4 2028	TER-PHOTON	60%	32.500	20.150	10.650	5.700
Q4 2028	TER-BURNIN	65%	12.375	6.806	2.228	2.976
Q4 2028	TER-PRICE	35%	1.901	1.521	0.095	0.499
Q4 2028	TER-ROBOTICS	35%	-19.695	-10.635	-2.363	-2.895
Q4 2028	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	308.914	180.715	55.605	31.278
Q1 2029	TER-DUAL	65%	68.850	42.687	12.393	19.691

Quarter	Branch	Probability	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2029	TER-PHOTON	60%	41.000	25.420	13.020	7.440
Q1 2029	TER-BURNIN	65%	17.250	9.488	3.105	4.149
Q1 2029	TER-PRICE	35%	1.938	1.550	0.097	0.509
Q1 2029	TER-ROBOTICS	35%	-20.700	-11.178	-2.484	-3.043
Q1 2029	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	261.374	152.904	47.047	26.464
Q2 2029	TER-DUAL	65%	68.850	42.687	12.393	19.691
Q2 2029	TER-PHOTON	60%	41.000	25.420	13.020	7.440
Q2 2029	TER-BURNIN	65%	17.250	9.488	3.105	4.149
Q2 2029	TER-PRICE	35%	2.019	1.615	0.101	0.530
Q2 2029	TER-ROBOTICS	35%	-21.562	-11.644	-2.587	-3.170
Q2 2029	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	154.457	90.357	27.802	15.639
Q3 2029	TER-DUAL	65%	68.850	42.687	12.393	19.691
Q3 2029	TER-PHOTON	60%	41.000	25.420	13.020	7.440
Q3 2029	TER-BURNIN	65%	17.250	9.488	3.105	4.149
Q3 2029	TER-PRICE	35%	2.019	1.615	0.101	0.530
Q3 2029	TER-ROBOTICS	35%	-21.562	-11.644	-2.587	-3.170
Q3 2029	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	87.125	50.968	15.682	8.821
Q4 2029	TER-DUAL	65%	68.850	42.687	12.393	19.691
Q4 2029	TER-PHOTON	60%	41.000	25.420	13.020	7.440
Q4 2029	TER-BURNIN	65%	17.250	9.488	3.105	4.149
Q4 2029	TER-PRICE	35%	2.100	1.680	0.105	0.551

Quarter	Branch	Probability	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2029	TER-ROBOTICS	35%	-22.425	-12.110	-2.691	-3.296
Q4 2029	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	0.000	0.000	0.000	0.000
Q1 2030	TER-DUAL	65%	90.000	55.800	16.200	25.740
Q1 2030	TER-PHOTON	60%	48.250	29.915	15.115	8.880
Q1 2030	TER-BURNIN	65%	22.500	12.375	4.050	5.411
Q1 2030	TER-PRICE	35%	2.102	1.681	0.105	0.552
Q1 2030	TER-ROBOTICS	35%	-23.400	-12.636	-2.808	-3.440
Q1 2030	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	0.000	0.000	0.000	0.000
Q2 2030	TER-DUAL	65%	90.000	55.800	16.200	25.740
Q2 2030	TER-PHOTON	60%	48.250	29.915	15.115	8.880
Q2 2030	TER-BURNIN	65%	22.500	12.375	4.050	5.411
Q2 2030	TER-PRICE	35%	2.189	1.751	0.109	0.575
Q2 2030	TER-ROBOTICS	35%	-24.375	-13.163	-2.925	-3.583
Q2 2030	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	0.000	0.000	0.000	0.000
Q3 2030	TER-DUAL	65%	90.000	55.800	16.200	25.740
Q3 2030	TER-PHOTON	60%	48.250	29.915	15.115	8.880
Q3 2030	TER-BURNIN	65%	22.500	12.375	4.050	5.411
Q3 2030	TER-PRICE	35%	2.189	1.751	0.109	0.575
Q3 2030	TER-ROBOTICS	35%	-24.375	-13.163	-2.925	-3.583
Q3 2030	TER-OCP-ACCEPTED-TEST-RAMP-20261020	25%	0.000	0.000	0.000	0.000

Quarter	Branch	Probability	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2030	TER-DUAL	65%	90.000	55.800	16.200	25.740
Q4 2030	TER-PHOTON	60%	48.250	29.915	15.115	8.880
Q4 2030	TER-BURNIN	65%	22.500	12.375	4.050	5.411
Q4 2030	TER-PRICE	35%	2.277	1.821	0.114	0.598
Q4 2030	TER-ROBOTICS	35%	-25.350	-13.689	-3.042	-3.726
Q4 2030	TER-OCP-ACCEPTED-TEST-RAMP-2026 1020	25%	0.000	0.000	0.000	0.000

Enterprise-to-equity reconciliation

20x forward-four-quarter consolidated GAAP operating profit, less20x matching minority operating-profit reserve and $139.296m pension deficit, divided by end-window diluted shares. No cash addition. Quarter includes itself plus nextthree.

Quarter	Reference claims	Weighted change	Total claims	Ceiling USD
Q3 2026	189.296	0.000	189.296	214.914397
Q4 2026	194.296	0.000	194.296	235.345851
Q1 2027	199.296	0.000	199.296	259.075641
Q2 2027	207.296	0.000	207.296	275.901989
Q3 2027	215.296	0.000	215.296	292.911022
Q4 2027	223.296	0.000	223.296	310.411750
Q1 2028	231.296	0.000	231.296	327.700986
Q2 2028	238.296	0.000	238.296	338.129566
Q3 2028	245.296	0.000	245.296	347.500724
Q4 2028	252.296	0.000	252.296	354.716512
Q1 2029	259.296	0.000	259.296	361.895501
Q2 2029	267.296	0.000	267.296	366.886435
Q3 2029	275.296	0.000	275.296	373.740554

Quarter	Reference claims	Weighted change	Total claims	Ceiling USD
Q4 2029	283.296	0.000	283.296	381.431904
Q1 2030	291.296	0.000	291.296	390.728274
Q2 2030	139.296	0.000	139.296	Outside complete F4Q window
Q3 2030	139.296	0.000	139.296	Outside complete F4Q window
Q4 2030	139.296	0.000	139.296	Outside complete F4Q window

Claim decisions, overlap and triggers

TER-DUAL

probability: 0.65

source: Q2 management: delivered first merchant GPU order, second hyperscaler correlation and 9-12 month initial qualification cycle.

Conditional bound: 2027 eligible annual compute-test wallet $0.7-1.3bn; selected $1bn with 15% new share, below the 30% fast-follower endpoint. 40% already in reference leaves $90m net conditional revenue. 2028/29/30: $184.8m/$275.4m/$360m.

bridge: 62% incremental gross margin less 18% R&D/customer-support expense, including SBC and depreciation. Weighted 2027 revenue $58.5m and OP $25.74m; first recognized in 2027. This is equipment demand, not semiconductor silicon revenue.

overlap: Reference SoC already grows with transistors and existing compute customers. Remove 40% of gross program opportunity. Do not add separate merchant GPU, hyperscaler and networking announcements to the same wallet.

triggers: Raise on production acceptance and additional correlated devices; reduce on a two-quarter ramp delay or failed correlation.

TER-PHOTON

probability: 0.6

source: Q1/Q2 management and March17 Photon100 launch; 2028 CPO test TAM $300-700m is a management estimate.

Conditional bound: 2028 midpoint $500m times 35% capture = $175m company optical-test sales; subtract $45m nested reference optical sales, leaving $130m. 2027/29/30 gross company endpoints $60m/$234m/$288m, less $20m/$70m/$95m reference.

bridge: 62% incremental GM less 22% variable R&D/support and fixed qualification expense $10m/$14m/$16m/$18m annually. 2028 active increment $78m revenue and $22.8m OP; 2027 active $24m/$3.6m. These are qualified recognized sales, not reported orders.

overlap: One combined photonics wallet covers integrated ATE and acquired optical instrumentation. Iris100 is architectural coverage, not a second CPO pool. No multiplication of module TAM by test ASP or test insertions.

triggers: Need accepted units, production throughput, repeat purchases and stable optical coupling. Reduce if improved parallelism lowers the test wallet or qualifications slip.

TER-BURNIN

probability: 0.65

source: October6 issuer states Titan HP enhanced burn-in is production deployed.

Conditional bound: 2027 12-36 system-equivalents at $1.5-2.5m, selected 24 at $2m. Remove 50% ordinary IST/replacement overlap, net $24m. Net $49.5m/$69m/$90m in 2028/29/30.

bridge: 55% GM less 18% incremental thermal/field support and R&D. 2027 weighted $15.6m revenue/$5.772m OP. No claim the proxy is disclosed orders or ASP.

overlap: Applies solely to additional burn-in functionality above existing HDD/SLT growth. It is not added separately for thermal power, every test insertion and device count.

triggers: Repeat production deployments and support costs; reduce if burn-in substitutes existing SLT sales without more content.

TER-PRICE

probability: 0.35

source: High-value chiplet yield protection and qualified platform switching costs; counter-evidence is stable 12-16 week lead time in Q1.

Conditional bound: 0-2% premium on 25% new/repriceable semiconductor test sales, selected 1%, with 50% overlap haircut for reference mix. Net conditional uplift is 0.125% of eligible segment sales from2027.

bridge: 80% incremental GP after costs less5% sales/support. Probability35% expresses limited evidence for price realization, not a reported increase.

overlap: No premium on fixed orders, robotics, or the separate qualification branches. Stable lead times rule out a blanket shortage premium.

triggers: Actual value pricing/new product terms versus discounting and throughput-driven price erosion.

TER-ROBOTICS

probability: 0.35

source: Q2 revenue recovered to$99.917m but segment remained loss-making before tax at-$2.576m; annual report competition is broad.

Conditional bound: 10-20% downside to reference robotics sales, selected15%, from2027. Reference has only gradual recovery, not an assumed humanoid explosion.

bridge: 54% lost gross profit offset by12% variable opex reduction. Negative probability-weighted revenue and OP retain fixed sales/service burden.

overlap: No separate second downturn charge for the same industrial customer weakness.

triggers: Sustained segment profitability and expanding distributor demand remove risk; renewed order contraction raises it.

TER-OCP-ACCEPTED-TEST-RAMP-20261020

Specific customer/supplier meeting claims and a stated company revenue endpoint support a forward case; unidentified original analyst, production-to-acceptance conversion and order timing warrant a low subjective25% weight.

Bank model says more than80% company revenue growth fromC2H26 toC2H28. Selected lower endpoint1.8x; diagnostic1.7-1.9x. This is a company revenue forecast, not equipment-production units.

Subtract the entire current active path including five existing branches first, then remove25% of the residual for correlated share/content/pricing stories. No independent Google/AMZN/HBM/test-intensity revenue added.

58.5% incremental gross margin includes manufacturing/depreciation;18% incremental engineering/customer support/SG&A including SBC. No new ASP/scarcity-price branch; existing pricing unchanged.

No2026increment or rewritten guidance; rampQ22027 throughH22028. Additional timing benefit fades through2029 and is zero byQ42029 as reference growth catches up; no unsupported permanent higher growth rate.

Accepted test sales, customer program conversion, manufacturing supply/costs and repeat orders; reduce on customer pushouts, improved test efficiency or production without accepted sales.

Google potentially exceeding AMZN is unspecified later potential; transistor-count order-of-magnitude is workload-specific speculation. Both nested in this one test-demand scenario, not additive shocks.

Remaining bounded uncertainties

- Latest two official documents are complete prepared management remarks, not recovered question-and-answer transcripts. Product launches after July were separately reviewed.
- SoC, memory and IST gross margins are not individually reported. They are labeled estimates calibrated to consolidated GAAP gross profit/guidance; segment cost tables exclude compensation included in other segment items and must not be mistaken for complete GAAP segment margins.
- Q3 EPS guidance implies a $0.06 GAAP/non-GAAP difference that also contains affiliate amortization below OP. The model subtracts a $6m recurring GAAP operating charge from guided non-GAAP OP; exact prospective allocation is not disclosed. SBC is retained in both bases.
- Photon100 customer names, accepted tool count, realized ASP, throughput and production share are undisclosed. $300-700m refers to industry CPO test TAM, not Teradyne revenue. Procurement dates and module architecture cannot be inferred from the launch.
- Robotics revenue recovery has not yet delivered segment profit. Reference growth and risk branch are separate from humanoid or general-purpose-robot TAM.
- 75% MLTP ownership is consolidated; standalone OP is undisclosed. A $0.5m quarterly minority OP reserve initially, increasing to$1.9m by2030, is an explicit proxy separate from the consolidated model and deducted once at20x. Technoprobe equity income/value is excluded.

- Pension deficit $139.296m is deducted once. Cash and securities are not added to valuation; operating leases remain expensed. No future acquisition or buyback accretion assumed.
- Funding excludes $162.274m long-term securities and $514.957m equity-method investment; $90m additional near-term tax settlement reserve, working capital74.3% of quarterly sales,18% tax, capex and pensions are explicit assumptions. Revolver renewal is not assumed as funding.
- Shares begin at158m Q3 diluted guidance and increase0.15m per quarter; legal July27 count156.340750m is different. Buybacks are a flexible cash use without modeled share reduction. All32 operating combinations retain positive cash.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] q2 call | 2026-07-29 | https://d1io3yog0oux5.cloudfront.net/_393bd522e0f5169d9c831e376f85ec31/teradyne/db/938/9649/webcast_transcript/Teradyne+Q2%2726+Earnings+Transcript_FINAL.pdf | Archived SHA-256: 99a92c9039be35c727a6fb3520638aa5fb226cd934a6e61ad9a577bd98658c9f

[2] q2 deck | 2026-07-29 | https://d1io3yog0oux5.cloudfront.net/_393bd522e0f5169d9c831e376f85ec31/teradyne/db/938/9649/presentation/EC+Q2%2726+Slides.pdf | Archived SHA-256: 94dd9d65d890af0d8ad5f0f006f46b422dd76ecb6c1d2724de126b96ece18aa9

[3] q1 call | 2026-04-29 | https://d1io3yog0oux5.cloudfront.net/_393bd522e0f5169d9c831e376f85ec31/teradyne/db/938/9643/webcast_transcript/Q126+TER+earnings+prepared+remarks.pdf | Archived SHA-256: 1566131ae6ab600d1d8bf0ccb5e973a44b9d34a07c600cbfc643cbb21708b032

[4] q1 deck | 2026-04-29 | https://d1io3yog0oux5.cloudfront.net/_393bd522e0f5169d9c831e376f85ec31/teradyne/db/938/9643/presentation/EC+Q1%2726+Slides_FINAL.pdf | Archived SHA-256: aa13e292c0a2d8c9fa0f0d5c5daa8d0e1f5afc81e2a3f5eb511b3131cc1f3f47

[5] q2 10q | 2026-07-31 | https://investors.teradyne.com/sec-filings/all-sec-filings/content/0001193125-26-327715/0001193125-26-327715.pdf | Archived SHA-256: f4cc3d4feee9abca828c52073534448d91d1d67e12b59d5e8ae170ba4a4971f1

[6] 2025 10k | 2026-02-19 | https://investors.teradyne.com/sec-filings/all-sec-filings/content/0001193125-26-059002/0001193125-26-059002.pdf | Archived SHA-256: 0870727854731146db37e61d84629d23a35f352789e924cb602a4d31ffcbd691

[7] q2 release | 2026-07-28 | https://investors.teradyne.com/news-events/press-releases/detail/445/teradyne-reports-second-quarter-2026-results | Archived SHA-256: ab79d9f9f0119eea1969018ea77794e986dcf120cf759350c0cc4eea0875926c

[8] photon100 | 2026-03-17 | https://investors.teradyne.com/news-events/press-releases/detail/436/teradyne-introduces-photon-100 | Archived SHA-256: 7f338ef41a156bd2dcbd663cfb02b3edd63f0e91abbc7df9f7fa39f97a7d75ee

[9] titan hp | 2026-10-06 | https://investors.teradyne.com/news-events/press-releases/detail/452/teradyne-introduces-titan-hp-platform-with-burn-in-capabilities-for-advanced-ai-data-center-devices | Archived SHA-256: 034bcf63a769a17b95b1ee6235a1a572519d3267a13a713409f33e02bc56a848

[10] magnum e2 | 2026-09-29 | https://investors.teradyne.com/news-events/press-releases/detail/451/teradyne-announces-magnum-e2-to-address-next-generation-memory-test-demands-driven-by-ai-and-high-performance-computing | Archived SHA-256: 428071a8b4b3bbcbf887b9942edb30c10d83fe91ba42a0e15c017972536a6b56

[11] iris100 | 2026-09-21 | https://investors.teradyne.com/news-events/press-releases/detail/450/teradyne-introduces-iris-100-production-proven-test-system-for-microled-devices | Archived SHA-256: bc3d7ee6d7039fd35f0285d1629bbe6544a08d53830039c3e4fa7b25efd3d2e6

[12] tel kgd | 2026-06-08 | https://investors.teradyne.com/news-events/press-releases/detail/443/teradyne-introduces-integrated-test-solution-for-ai-and-data-center-devices-in-collaboration-with-tokyo-electron | Archived SHA-256: 3b76baa9fc6d3cb5f9fcb51653707fccb2f384def63686a839f713032728ef6c

The linked workbook and this artifact use the same saved operating model, financial claims and share schedule.

Source mapping for the October 20 rescore

Original source image	SHA-256	Claim boundary
HVCoDtpX0AAU7zw.jpg	fdb312c89035eb645caef2e637e15f82cbd8715cfed5efaf311d2ed34e5fb3d8	Analyst recap; publisher and original report date are absent.

All substantive probability, overlap, score and financial decisions above are the approved October 20 rescore. Historical narrative and original issuer exhibits are retained in full; current numerical tables and header control the active model.